

PRINCIPLES OF TAXATION LAW

One Line Revision Digest

Every section and every case in a single line each

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For the last hour before the paper. Use with the full notes and the case digest.

Part One: Every Section in One Line

Definitions, section 2

Section	What it says
2(5) agricultural income	Rent or revenue from Indian land used for agriculture; income from agriculture or from a market making process; farm building income; and saplings or seedlings grown in a nursery.
2(7) annual value	Means the annual value as determined under section 21. The definition simply points onward.
2(11) assessee	Anyone liable to pay tax or any other sum, anyone under proceedings, and anyone deemed an assessee or an assessee in default.
2(22)(iii) urban land	Agricultural land within 2, 6 or 8 kilometres of a municipality, by population, loses its farmland character on transfer.
2(49) income	An inclusive list, clauses (a) to (w). The list widens the word; it does not confine it.
2(49)(n)	Winnings from lotteries, crosswords, races including horse races, card games, gambling and betting are income.
2(77) person	Individual, Hindu undivided family, company, firm, association or body, local authority, and any artificial juridical person.

Basis of charge, Chapter II

Section	What it says
3 tax year	The twelve months of the financial year from 1 April. One term now replaces previous year and assessment year.
4 charge	Tax is charged for every tax year on the total income of every person, at the rates the Finance Act fixes.
5 scope	Resident pays on world income. Not ordinarily resident pays on Indian income plus foreign business controlled from India. Non-resident pays on Indian income only.
6 residence	182 days, or 60 days plus 365 days in the four preceding years. Relaxed for ship crew, for employment abroad and for visitors. Deemed resident if Indian income is above Rs 15 lakh and he is taxed nowhere else. HUF and firm resident unless control is wholly outside India. Company resident if Indian or if managed from here.
7 deemed receipt	Provident fund accretion, transferred balance and the employer's pension contribution are treated as received. A dividend is taxed in the year declared, distributed or paid.
9 deemed accrual	Income from a business connection, property, asset or source in India, or from transferring an Indian capital asset, is deemed to arise in India.
9(10) indirect transfer	Foreign shares count as Indian if the Indian assets exceed Rs 10 crore and are at least half of all assets.
10 Portuguese Civil Code	Spouses under community of property split every head equally, except salary, which stays with the one who earned it.

Exempt income and the heads

Section	What it says
11 exempt income	Income listed in Schedules II to VI is left out of total income. Persons listed in Schedule VII are not chargeable at all.
12	Political parties and electoral trusts, read with Schedule VIII.
13 heads	Salaries; income from house property; profits and gains of business or profession; capital gains; income from other sources.
14	No deduction for expenditure relating to exempt income, and no set off of losses of an exempt source.

Salary, sections 15 to 19

Section	What it says
15 charge	Salary is taxed on the earlier of falling due or being received. Arrears are taxed when paid. A partner's salary from his firm is business income, not salary.
16 meaning	Wages, pension, gratuity, fees, commission, perquisites, profits in lieu, advance salary, leave pay, provident fund accretion, and the pension and Agniveer contributions.

Section	What it says
17 perquisite	Rent free or cheap accommodation, benefits to directors and high earners, the employer paying what the employee owes, life assurance, sweat equity, fund contributions above a combined Rs 7,50,000, and the accretion on that excess.
17(2) exclusions	Employer's hospital, Government or approved hospital, health insurance, a vehicle for commuting, and treatment abroad within limits.
18 profits in lieu	Compensation for ending or changing employment, fund payments, keyman insurance, and sums received before joining or after leaving.
19 deductions	Employment tax in full; standard deduction of Rs 75,000 under section 202(1) or else Rs 50,000; and formula relief for gratuity, commuted pension, retrenchment, voluntary retirement up to Rs 5,00,000, and leave encashment. There is no entertainment allowance deduction.

House property, sections 20 to 25

Section	What it says
20 charge	The annual value of buildings and land appurtenant to them, owned by the assessee, unless he occupies them for his own taxed business.
21 annual value	Higher of expected rent and actual rent; reduced for vacancy; less local taxes actually paid by the owner; unrealised rent excluded; nil for stock in trade for two years; nil for up to two self occupied houses.
22 deductions	Thirty per cent of annual value; interest on borrowed capital; pre-construction interest in five instalments. For a self occupied house interest is capped at Rs 2,00,000 if completed within five years and a certificate is filed, else Rs 30,000, and Rs 2,00,000 is the cap for both houses together.
23 arrears	Arrears and recovered unrealised rent are taxed when received, less thirty per cent, even if the property has been sold.
24 co-owners	Definite shares are assessed separately, not as an association of persons.
25 deemed owner	Transfer to spouse or minor child without consideration, holder of an impartible estate, society or company allottee, possession under part performance, and rights under a lease of twelve years or more.

Other provisions that come up

Section	What it says
178 to 184 GAAR	Strikes at an arrangement whose main purpose is a tax benefit and which lacks commercial substance. Not invoked where the benefit is Rs 3 crore or less.
124 and 125	The notified pension scheme and the Agniveer Corpus Fund, both referred to inside section 16.
202(1)	The default regime. It decides whether the standard deduction is Rs 75,000 or Rs 50,000.
306	Agent in India. Relevant to interest paid abroad under section 22(6).

Constitution, Unit II

Article or entry	What it says
Article 265	No tax shall be levied or collected except by authority of law.
Articles 245 and 246	Territorial extent of laws, and the division of subjects through the Seventh Schedule.
List I Entry 82	Taxes on income other than agricultural income. This is what the Income-tax Act rests on.
List II Entry 46	Taxes on agricultural income. A State subject, which is why the Union exempts it.
Article 248 with Entry 97	Residuary power, which expressly includes the power to impose a tax not listed elsewhere.
Articles 246A, 269A, 279A	Concurrent power over goods and services tax, inter-State supply, and the GST Council.
Article 110	Money Bill. A fee for a licence or for services rendered does not make a Bill a Money Bill, so a fee is not a tax.
Article 27	No one may be compelled to pay a tax whose proceeds promote a particular religion.
Article 14	Wide freedom to classify in tax matters, but the classification must be rational and connected with its object.
Article 19(1)(g) with 19(6)	A tax is a reasonable restriction on trade; a confiscatory tax is not.
Article 300A	Property only by authority of law, with a presumption against retrospective burdens.

Article or entry	What it says
Articles 268 to 282, 292, 293	How the proceeds are shared, grants in aid, and borrowing. Article 271 keeps surcharge outside the divisible pool.
Article 280	Finance Commission. The Sixteenth kept the States' share at 41 per cent for 2026 to 2031.

Part Two: Every Case in One Line

Highlighted names are the eighteen leading cases. Read the facts column to jog the memory and the last column for what to write.

A. Tax, fee and cess; avoidance

Case	Facts in a line	What the court said
Delhi Race Club	Delhi racing licence fee raised from Rs 2,000 to Rs 20,000 a race day.	A regulatory fee needs no quid pro quo and stays a fee, not a tax, so long as it is not excessive.
Knowlton v. Moore	American legacy tax attacked as a direct tax.	A death duty taxes the transmission of property, so it is indirect in nature.
McDowell	An arrangement designed to cut sales tax.	A colourable device to avoid tax gets no protection. The famous lines are Chinnappa Reddy J's separate judgment, not the majority.

B. Concept of income

Case	Facts in a line	What the court said
G.R. Karthikeyan	Won Rs 22,000 in the All India Highway Motor Rally.	Income is an inclusive idea. Winnings by skill and endurance count, not only winnings by chance.
K. Thangamani	Made money by fraudulently obtaining tax refunds.	Illegal income is still taxable. You cannot plead your own wrongdoing to escape tax.
Shoorji Vallabhdas	Commission entered in the books, then cut by later agreement.	Tax is on real income. A book entry cannot create income that never materialised.

C. Application and diversion

Case	Facts in a line	What the court said
Sitaldas Tirathdas	Paid maintenance under a decree that charged nothing on his income.	Ask whether the money ever reached him as his income. Here it did, so it was application and not deductible.
Sunil J. Kinariwala	A partner assigned part of his profit share to a trust.	The trust got no title to the firm's profits, so the profit accrued to the partner first.

D. Mutuality

Case	Facts in a line	What the court said
Styles	Members insured each other's lives and shared the surplus.	Getting back your own excess contributions is not profit at all.
Bangalore Club	A club kept fixed deposits with banks that were its own members.	Once the money enters the bank's lending business, the bar on profiteering fails and mutuality breaks.

E. Person, assessee and residence

Case	Facts in a line	What the court said
M.M. Ipoh	Whether a group managed by one of them was an association of persons.	An association needs people joining in a common purpose with the object of producing income.
Subbayya Chettiar	HUF karta lived in Colombo but stayed 101 days in India.	An HUF is presumed resident. The assessee must prove control and management was wholly outside India.
Narottam and Parekh	Residence of a company under the old Act.	What matters is where the seat of power, the head and brain, functions, not where the business is done.

F. Income deemed to accrue in India

Case	Facts in a line	What the court said
Vodafone	Bought a Cayman company's shares and thereby controlled an Indian telecom company.	The section is not a look through provision. Look at the transaction as a whole; the share was situated abroad.

G. Agricultural income

Case	Facts in a line	What the court said
Kamakshya Narain Singh	Interest on arrears of rent of agricultural land.	Interest is payment for the use of money, not revenue derived from land.
Mustafa Ali Khan	Sold forest trees that had grown by themselves.	No cultivation, no agriculture. Human skill and labour on the land are essential.
Benoy Kumar Sahas Roy	A 150 year old spontaneous sal forest, parts of it replanted.	Basic operations on the land are essential. Subsequent operations count only when joined to them. Replanted areas qualify.
Bacha F. Guzdar	Dividend from tea companies, 60 per cent of whose income is agricultural.	A shareholder's dividend comes from the shares, not the land. The character does not pass to him.
Premier Construction	Managing agent paid 10 per cent of profits that were partly agricultural.	Income does not become agricultural because of the source it is measured against or the way it is calculated.
B. Gupta (Tea)	Insurance money for hail damage to the green leaf crop.	Money that replaces agricultural profit is itself agricultural income.
Maddi Venkatasubbayya	Bought tobacco from growers, redried it and sold it.	The processing limb is only for a cultivator's own produce. A trader carries on business.
Sakarlal Naranlal	Grew galka and turned it into loofahs for shoes.	If the raw crop has no market, the process needed to sell it continues the agricultural operations.
K. Lakshmanan	Fed his own mulberry leaves to silkworms and sold cocoons.	You cannot sell a commodity different from what you grew. Cocoons are not the crop.
H.G. Date	Crushed his own sugarcane into jaggery; the cane had no market as such.	Where the raw produce is unsaleable, a process that changes its character still qualifies.
B. Nagi Reddi	Charged film units to shoot in his garden.	No basic operation on the land, so no agriculture, whatever the connection with land.
Inventaa Industries	Mushrooms grown in trays of compost.	Held agricultural. The produce need not be grown on the surface of the land.
British Agro Products	Mushrooms grown in a factory under controlled conditions.	Held not agricultural. The Court refused to follow Inventaa. The Supreme Court appeal is pending, so cite both.
Jayanti Botanical Gardens	Nursery contract covering both plants and landscaping work.	Only saplings and seedlings grown in the nursery qualify. Split the composite contract.

H. Salary and the employment relationship

Case	Facts in a line	What the court said
L.W. Russel	Employer paid into a scheme payable only on reaching retirement age.	A contingent interest is not taxable. A benefit is charged only when a vested right arises.
Ram Pershad	Managing director paid fixed pay plus 10 per cent of gross profits.	If the company can control how he works, it is a contract of service and the pay is salary.
Jayaram Rangan	MD billed monthly with service tax, deducted under 194J, books audited.	The label Managing Director does not make the fee salary. Substance decides.
Shiv Charan Mathur	Salary and allowances of an MLA who was also a Minister.	No employer and no master and servant relationship, so it is other sources, not salary.

I. Perquisites and allied issues

Case	Facts in a line	What the court said
Delhi Public School	Free schooling given to the children of the school's employees.	Rs 1,000 a month a child is a threshold, not a deduction. Cross it and the whole value is taxed.
Shankar Krishnan	Employer gave the landlord an interest free deposit of Rs 30 lakh.	Notional interest on the deposit is not added to the value of the accommodation.
ITC Ltd	Hotels collected customer tips and passed them to staff.	Tips are not salary, so section 192 does not apply. They are other sources in the employee's hands.
Milan Arvindbhai Patel	Kingfisher deducted TDS from a pilot's pay and never deposited it.	Section 205 bars recovery from the employee. He must still be given credit.

J. Income from house property

Case	Facts in a line	What the court said
Zaibunnisa Begum	A house sold together with a large extent of land.	Land is appurtenant only if enjoyed as one unit with the building. Contiguity alone is not enough.
East India Housing	A land development company let shops in the market it had built.	The heads are mutually exclusive. Rent is house property income whatever the company's business.
Podar Cement	Paid the full price of flats and took possession, but had no registered deed.	The owner is whoever is entitled to the income in his own right. Registration is not necessary.
Jodha Mal	Lahore property vested in the Custodian of Evacuee Property after Partition.	The owner is the person who can exercise an owner's rights in his own right, not on another's behalf.
Maneklal Agarwal	Leased to wife, son and daughter in law at nominal rent; they sublet high.	A device. The authority may tax the right person, and that was the assessee.
Biman Behari Shaw	Temples which a will forbade anyone from occupying or letting.	A restriction may lower the letting value but cannot remove the notional annual value.